ZESA HOLDINGS GROUP

PROPERTY, PLANT & EQUIPMENT PROCEDURES MANUAL

PROPERTY PLANT AND EQUIPMENT PROCEDURE MANUAL

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1.0 INTRODUCTION

1.1 The purpose of the manual is to detail policies and procedures that shall be followed by ZESA Holdings and its Subsidiary Companies on Asset Accounting. The outlined policies shall act as a guideline and minimum requirement. It is necessary that these procedures and policies be availed to all staff whose duties entail asset accounting.

2.0 OBJECTIVES OF THE MANUAL

2.1 To define the scope of the Fixed Asset accounting and the activities involved.

2.2 To outline standard policies and procedures to be followed throughout the company so as to ensure that the company's assets are secure, properly accounted for and fully recorded in the books of accounts.

2.3 To ensure all purchases, disposals, transfers and write-offs of fixed assets are properly authorized and accounted for.

2.4 Ensure proper valuation of all fixed assets.

2.5 To achieve standardisation and ensure ease of communication, accurate and timeous reporting,

2.6 Similarity in costs accumulation and comparability of results.

2.7 To ensure compliance with International Financial Reporting Standards (IFRS).

3.0 FIXED ASSETS DEFINITION

3.1 International Accounting Standards **(IAS) 16 and IAS 36**, which are the governing standards, refer to this category of Tangible Non- Current Assets as **Property, Plant and Equipment.** IAS 38 is responsible for the accounting treatment of Intangible Assets.

3.2 **Asset-**is a resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity. It is recognised in the balance sheet when it is probable that the future economic benefit will flow to the entity and the asset has a cost or value that can be measured reliably.

3.3 **Property, Plant and Equipment -** Refers to those assets of a company that are held for use in the production or supply of goods and services or for administrative purposes. The assets are expected to have useful economic lives of more than one accounting period, which is normally twelve months.

3.4 **Cost -** is the amount of cash or cash equivalents paid or the fair value of other consideration given to acquire an asset at the time of its acquisition or construction.

3.5 **Residual Value -** is the net amount, which the entity expects to obtain for an asset at the end of its useful life after deducting the expected costs of disposal.

3.6 **Fair value -** is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

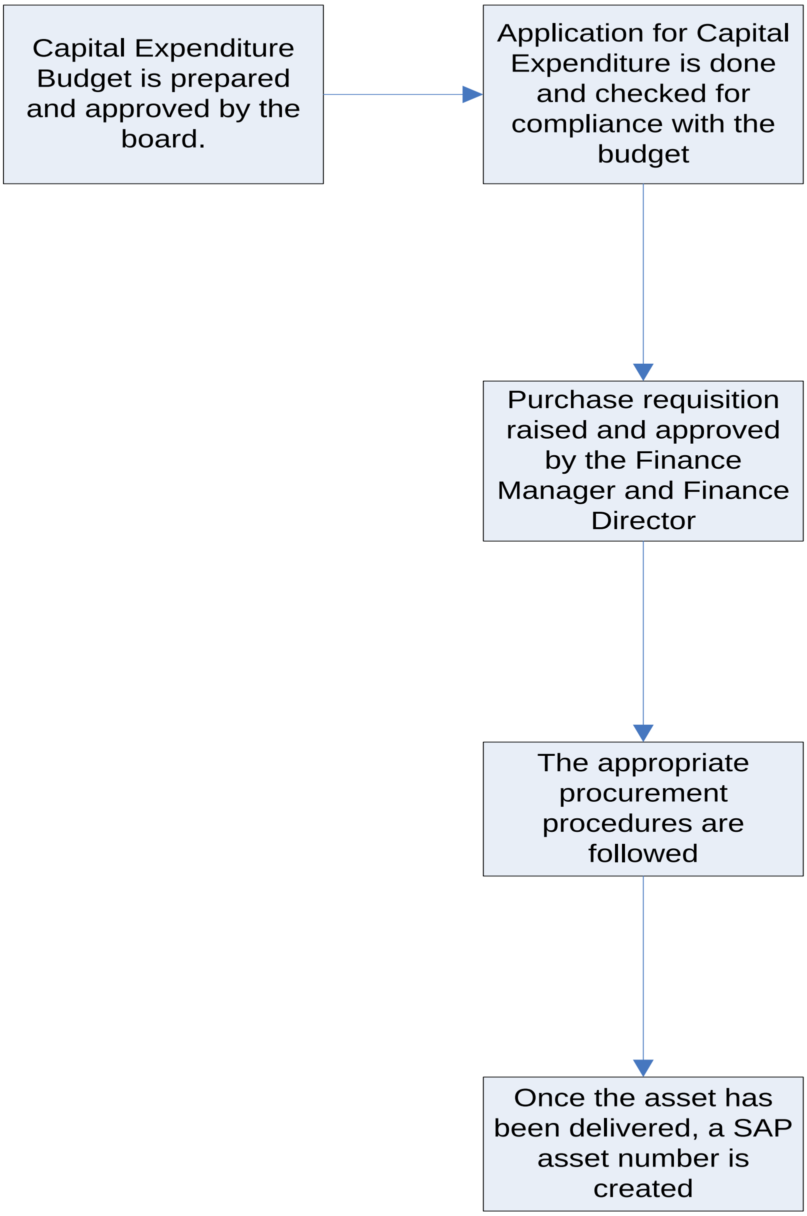
3.7 **Carrying Amount -**is the amount at which an asset is recognised in the statement of financial position after deducting any accumulated depreciation and accumulated impairment losses.

3.8 **Impairment loss** – is recognised whenever recoverable amount is below carrying amount. [IAS 36.59] is the amount by which the carrying amount of an asset exceeds its recoverable amount.

3.9 **Recoverable Amount –**is the higher of an asset's Value in use and Fair value less cost to sell.

3.10 **Intangible assets refer-** to an identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services, for rental to others, or for administrative purposes. For example goodwill, brand recognition, intellectual property such as Patents, trademarks, Licences & software etc.

3.9 Detailed process flow chart



4.0 CATEGORISATION OF FIXED ASSETS

4.1 The ZESA Group has categorised its Property, Plant and Equipment as follows:

- Land & Buildings
- Plant & Machinery
- Motor Vehicles
- Tools and Equipment
- Furniture & Office Equipment
- Work In Progress
- Licences and Software

5.0 ACCOUNTING PRINCIPLES

The following describes the accounting policies and principles for adoption by the ZESA Group of Companies

5.1 Recognition and Measurement

Items of property, plant and equipment are initially recognised at cost. As well as the purchase price, cost includes directly attributable costs and the estimated present value of any future unavoidable costs of dismantling and removing items. Subsequent to initial measurement, property, plant and equipment is measured at either cost less accumulated depreciation and accumulated impairment losses or at revalued amount.

Land and buildings are revalued to open market value, whilst plant and equipment as well as tools and equipment are revalued using the depreciated replacement cost method by independent professional valuers at the end of five years or as necessary to ensure that the carrying amount would not differ materially from fair value that would be determined at the end of the reporting period. Cost includes expenditure directly attributable to bringing an asset to a working condition for intended use, the cost of dismantling the asset, site restoration as well as capitalised borrowing costs.

The assets accounted for under the revaluation model are carried at revalued amount being fair value at the date of the revaluation less subsequent accumulated depreciation and impairment. The categories listed below are stated at historical cost less accumulated depreciation and any accumulated impairment loss:

- Motor vehicles
- Furniture and office equipment

- Computer equipment
- Other telecom assets

Revaluation surpluses on land, buildings, distribution equipment, transmission equipment and tools and equipment are recognised in other comprehensive income and accumulated in equity under the heading of revaluation reserve, except to the extent that they reverse a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is recognised in profit or loss to the extent of the decrease previously charged. A decrease in the carrying amount arising on the revaluation of such property, plant and equipment is debited directly to equity under the heading of revaluation surplus to the extent of any credit balance existing in the revaluation surplus in respect of that asset.

5.2 Components of cost

The cost of an item of property plant and equipment comprises:

a) Its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
b) Any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.
c) The initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located, the obligation for which an entity incurs either when the item is acquired or as a consequence of having used the item during a particular period for purposes other than to produce inventories during that period.

5.3 Subsequent Costs

The cost of replacing part of an item of property, plant or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of property, plant and equipment are recognised in profit or loss as incurred.

5.4 Subsequent Costs – Repairs

As per paragraph 12 of IAS 16, the day to day servicing and running of an item of property plant and equipment, which does not meet the recognition criteria under paragraph 7 of IAS 16 is recognised through profit and loss and is described as repairs and maintenance.

5.5 Subsequent Capitalisation- Cost

As per paragraph 13 of IAS 16, an entity recognises the carrying amount of an item of property plant and equipment, the cost of replacing parts of such an item when such cost meets the recognition criteria under paragraph 7 of IAS 16.

5.6 Subsequent Measurement to Initial recognition

The Group adopts the cost model as opposed to the revaluation model. However the Group shall carry out a revaluation of its key items of property plant and equipment after every 5 years. Therefore the following shall apply:

1. Fixed assets shall be recorded in the books of accounts at gross cost (net of costs or charges subject to rebate), that is actual price, transport, insurance, installation and other related costs.
2. Depreciation shall be charged on a straight - line basis.
3. Land and Capital Work In Progress are not depreciated.

5.7 Measurement during Hyper Inflationary Period

The Revaluation Model states that an asset, whose fair value can be measured reliably shall be carried at a revalued amount, being its fair value at the date of the revaluation less subsequent accumulated losses. The revaluation model is applied to Immovable Non Current Assets. The revaluation is carried out every year, during the Hyper Inflation period.

6.0 IMPAIRMENT OF PROPERTY PLANT AND EQUIPMENT

The carrying amounts of the Group's assets are reviewed at each reporting date to determine whether there is any indication of impairment, in which case their recoverable amounts are estimated. Where the recoverable amount is less than the net book value, the impairment is recognised in profit or loss to reduce the carrying amount of the affected assets to recoverable amounts.

Calculation of recoverable amount

The recoverable amount of items of property, plant and equipment is the greater of the fair value less cost to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

7.0 KEY ACCOUNTING DOCUMENTS

- Authority to purchase –the Accounting Officer
- Application for Capital Expenditure (ACE)
- Purchase Requisition
- Purchase Order
- Invoice
- Goods Received Note (GRV/N)
- Document of title/ ownership
- Asset Disposal Form
- Asset movement /transfer authority form.

8.0 ACQUISITION OF AN ASSET

- Fixed assets to be acquired during a particular year should be provided for or budgeted for in the company's Capital Expenditure Budget.
- The process of purchasing a fixed asset begins with whether the particular item was provided for in the Approved Capital Expenditure budget. If not steps should be taken to ensure that the necessary approvals are sought and granted.

8.1 STEPS IN PURCHASING AN ASSET

(a) User section or department raises a Purchase Requisition form (PR).

(b) Approval of PR is done by an appropriate authority depending on the financial authority required as defined in the procurement limits that are set from time to time.

(c) An Application For Capital Expenditure (ACE Fig. 2) is completed to which an approved PR is attached. Approval of the ACE is required before actual purchasing process begins.

(d) Depending on the value of the asset to be purchased a number of quotations is sought and such guidelines are contained in the Procurement Manual.

(e) An adjudication process takes place and the evaluation report format depends on the nature and value of asset or purchase (Reference Procurement Manual).

(f) Upon completion of the evaluation process, the successful bidder is identified and a purchase order is raised in the system and approved.

9.0 CAPITALISATION THRESHOLD

Capitalisation of fixed assets is set at certain values from time to time. The capitalisation threshold shall be reviewed and set at an appropriate level with the authority of the Group Financial Controller or whoever has the necessary authority. The current capitalisation threshold is at US$250.00 (Two Hundred and Fifty United States Dollars).

10.0 DEPRECIATION POLICY OF FIXED ASSETS

Depreciation is based on the cost of an asset less the residual value. It is the Group's policy to utilize all its assets for their full economic lives, except for personally allocated motor vehicles, whose useful life is limited to five years, in line with the policy on disposal of the vehicles to the employees after a period of five years. The residual value of all the assets have therefore been determined as nil, with the exception of personally allocated motor vehicles whose residual values are determined as the estimated amount the Group would currently obtain from disposal of the asset after deducting estimated disposal costs, if the assets were already of the age and in condition expected at the end of its useful life determined by the Group as approximately 20% of cost.

Land and capital work in progress is not depreciated. Depreciation is provided on all other items of property, plant and equipment so as to write off their carrying value over their expected useful economic lives. Depreciation is provided at the following rates:

- Buildings - 20-25 years
- Plant and Equipment - 25-45 years
- Motor vehicles - 5-8 years
- Tools and Equipment (economic lives) - 10 years
- Furniture and office equipment - 5-10 years

The residual values are estimated at nil. The estimated remaining useful lives and residual values are reviewed at every reporting date.

11 INTANGIBLE ASSETS

Intangible assets comprise of acquired computer software licenses, which are recognised initially on the basis of the costs incurred to acquire and directly attributable cost of preparing the asset for its intended use and subsequently at cost less accumulated amortisation and impairment losses. The costs are amortised over estimated useful life using the straight line method from the date the asset is available for use. Costs associated with maintaining computer software programmes are recognised as expenses when incurred.

Amortisation

The estimated useful life in current and comparative years is as follows:

- Intangibles (software licenses) 5 - 25 years

Impairment of intangible assets

The carrying amounts of the Group's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment, in which case their recoverable amounts are estimated. Where the recoverable amount is less than net book value, the impairment charged is recognised in profit or loss to reduce the carrying amount of the affected assets to recoverable amounts.

Calculation of recoverable amount

The recoverable amount of items of intangible assets is the greater of the fair value less cost to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Disposal of assets

Disposal of items of property, plant and equipment shall be accompanied by a properly completed and approved Asset Disposal Form (Fig 1). Disposal is authorised by the ZESA Group Board through resolution. Disposals are done through auction and management appoints a committee which determines the disposal value.

12.0 ACCOUNTING SYSTEM

The ZESA group uses the Systems Application Program (SAP) System which incorporates fixed asset module amongst others. The assets register and other reports are all incorporated in the Fixed Assets Module.

13.0 PHYSICAL INSPECTION OF PROPERTY PLANT AND EQUIPMENT

Assets are inspected periodically for physical existence. The asset number on the assets registered is matched to the number on the physical asset for identification purposes.

14.0 MONTHLY FIXED ASSET SCHEDULES

Fig. 1(a) PROPERTY, PLANT AND EQUIPMENT

Cost

Non current assets Description	Balance 31/12/20x	Additions	Disposals	Write-offs	Adjustments	Transfers	Balance 31/12/20x
Land	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Buildings	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Commercial buildings	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Industrial buildings	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Housing buildings	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Generation equipment	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Leased Asset	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Transmission equipment	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Distribution equipment	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Plant & machinery	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Comunication assets	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Tools & equipment	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Computer equipment	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Motor vehicles	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Furniture	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Work-in-progress	xxx	xxx	xxx	xxx	xxx	xxx	xxx
SUB TOTAL	xxxx	xxxx	xxxx	xxxx	xxxx	xxxx	xxxx

Depreciation

Non current assets Description	Balance 31/12/20x	Depreciation charge	Disposals	Write-offs	Transfers	djustments	Balance 31/12/20x	Net book value 31/12/20x	Net book value 31/12/20x
Land	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Buildings	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Commercial buildings	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Industrial buildings	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Housing buildings	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Generation equipment	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Leased Asset	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Transmission equipment	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Distribution equipment	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Plant & machinery	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Comunication assets	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Tools & equipment	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Computer equipment	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Motor vehicles	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Furniture	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
Work-in-progress	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
SUB TOTAL	xxxx	xxxx	xxxx	xxxx	xxxx	xxxx	xxxx	xxxx	xxxx

- The monthly schedule for Property Plant and Equipment shows the asset movement, from the prior year balance.

14.2(b) MONTHLY INTANGIBLE ASSET SCHEDULES

Cost

Intangible asset Description	Balance 31/12/20x	Additions	Disposals	Write-offs	Adjustments	Transfers	Balance 31/12/20x
Software and licences	xxx	xxx	xxx	xxx	xxx	xxx	xxx
SUB TOTAL	xxx	xxx	xxx	xxx	xxx	xxx	xxx

Amortisation

Intangible asset Description	Balance 31/12/20x	Amortisation charge	Disposals	Write-offs	Transfers	Adjustments	Balance 31/12/20x	Net book value 31/12/20x
Software and licences	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx
SUB TOTAL	xxx	xxx	xxx	xxx	xxx	xxx	xxx	xxx

•The monthly schedule for Intangible assets shows the asset movement, from prior year balance.

15 FIXED ASSET SCHEDULE AS SHOWN IN THE AUDITED FINANCIAL STATEMENTS

(a)PROPERTY, PLANT AND EQUIPMENT

	Land and buildings	Plant and equipment	Motor vehicles	Tools and equipment	nd office equipment	Work In Progress	Total
Carrying amounts as at 31 December 20x	XXXX	XXXX	XXXX	XXXX	XXXX	XXXX	XXXX
Cost / Valuation	XXX	XXX	XXX	XXX	XXX	XXX	XXX
Accumulated depreciation	XXX	XXX	XXX	XXX	XXX	XXX	XXX
Depreciation	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)
Additions	XXX	XXX	XXX	XXX	XXX	XXX	XXX
Transfers	**XXX**	**XXX**	**XXX**	**XXX**	**XXX**	**XXX**	**XXX**
Cost / Valuation	XXX	XXX	XXX	XXX	XXX	XXX	XXX
Accumulated depreciation	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)
Disposal	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)
Cost / Valuation	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)	(XXX)
Accumulated depreciation	XXX	XXX	XXX	XXX	XXX	XXX	XXX
Carrying amounts as at 31 December 20x	XXX	XXX	XXX	XXX	XXX	XXX	XXX
Cost / Valuation	XXX	XXX	XXX	XXX	XXX	XXX	(XXX)
Accumulated depreciation	XXX	XXX	XXX	XXX	XXX	XXX	XXX

- Property plant and equipment is classified into six major categories as shown in the above table and shows the movements of all the assets from the prior year balances.

(b) INTANGIBLE ASSETS

	DEC 20x	DEC 20x
SOFTWARE LICENCES		
COST/REVALUATION		
Opening balance	xxx	xxx
Additions	xxx	xxx
Desposals	xxx	xxx
Adjustment for duplicated assets	xxx	xxx
Closing Balance	xxxx	xxxx
AMORTISATION		
Opening balance	xxx	xxx
Charge for the year	xxx	xxx
Disposals	xxx	xxx
Adjustment for duplicated assets	xxx	xxx
Closing Balance	xxxx	xxxx
NET BOOK VALUE	xxxx	xxxx

ZESA Holdings (Pvt) Ltd

Asset Disposal form

Asset No/Serial No/Reg No……………………………………………….

Asset Category: Land & Building ☐ Computers ☐ Motor Vehicles ☐ Furn & Equip ☐

Detailed Description of the Asset

…………………………………………………………………………………………

…………………………………………………………………………………………

…………………………………………………………………………………………

Division ……………………………………………

Physical Location of Asset …………………………………………..

Year of Purchase/Revaluation……………………………………………

Cost …………………………………………….

Accumulated Depreciation …………………………………………….

Net book Value ……………………………………………

Proceeds ……………………………………………

Specify reasons for disposal and method of Disposal………………………………………………………………………….

…………………………………………………………………………………………

………………………………………………………………

Salvage committee recommendation…………………………………………………………………………

Date ………………………………………………………………………

Disposal Authorised by **(Print Name and Sign**

………………………………………………………………………

(Print **Name and Sign**)

Fig. 2

ZESA HOLDINGS (PVT) LTD

Application for Capital Expenditure

DIVISION: ………………………**UNDERTAKING:**…………………………**DISTRICT:** **…………………………………………….**

SERVICE NO: N/A **A.C.E NO…**…….

NATURE OF WORK: ………………………………………………………………………..

Classification: (Delete those not applicable)

Mine Gold/Base Metal, Industry, Farm, Domestic, Business, Institution, Lighting

Present Tariff (If Applicable)

Present M.M.A (If Applicable)

Cost/estimated by ……………………………….

SUMMARY OF COSTS

ITEM / EQUIPMENT **$…………………..………….**

LABOUR $………………..………………

CAPITAL CONTRIBUTION $………………………………

TRANSPORT $……………..………………….

CONNECTION FEE $……………………………… SUB-TOTAL $………………….…………….

RECOVERABLE CHARGES $…………………………….. INTEREST $………………………………….

H.Q. ADMIN $…………………………………..

ESTIMATED COST **$...............................………..**

M.M.A REVENUE AS% OF CAPITAL COST $…………………………………….

The questionnaire on the back page has been completed.

APPLICANT'S SIGNATURE…………………… DESIGNATION…………………………………… DATE**……………………………………**

GROSS CAPITAL ESTIMATE

Total Capital provided in the YEAR ………………… **.** Capital estimates for $..

Less Total Capital Sanctioned to date……………………………

Less Amount of the A.C.E.…………………………………………

Balance still to be sanctioned………………………………………

Passed by……………………………………… Approved/Not Approved………………………………………………………………….

General Manager

Date……………………………………………………….. Date…………………………………………………….

All expenditure against this approved application is to be allocated to VOTE NO………………..

Approved/Not Approved………………………………………MANAGING DIRECTOR…………………………………..

Distributions:-

1. Original: Procurement Section
2. Applicant (In Duplicate)
3. Head of Department
4. Finance (File)

PROOF OF OWNERSHIP

The company at any point in time hold proof of ownership of an asset which could be in the form of title deeds, registration book etc.

16. RURAL ELECTRIFICATION AGENCY (REA) GRANT

The Rural Electrification Agency constructs power lines using funds obtained from electricity customers which it transfers to the company for no consideration and the assets received are accounted for as REA grant. The grant income is recognised at a nominal amount upon transfer of the assets to the company. The grant is recognised in full in profit or loss on receipt of the assets. Subsequently the lines are revalued at the end of every five years and the increase in the carrying amount is recognised in other comprehensive income and accumulated in equity under the revaluation reserve.

17 OTHER GRANTS-DEFERRED REVENUE (ZIM-FUND GRANT)

Zim-Fund was established in 2010 by a group of 7 donors willing to assist Zimbabwe. They requested the African Development Bank to establish and administer the Zimbabwe Multi Donor Trust Fund. The purpose of the Zim-Fund is to contribute to early recovery and development efforts in Zimbabwe by mobilising donor resources to channel financial assistance to the country's key economic areas like Power Infrastructure Rehabilitation.

ACCOUNTING TREATMENT

International Accounting Standard 20-Accounting for Government Grants and Disclosure of Government Assistance stipulates that 'Government grants related to assets including non-monetary grants at fair value, should be presented in the statement of financial position either by setting up the grant as deferred income or by deducting the grant in arriving at the carrying amount of the asset'.

The method which the group has adopted is to treat the grant as deferred income which is recognised in the statement of profit or loss on a systematic basis over the useful life of the donated Asset.